Measuring Product-Market Fit: Bounty Utilization vs. Signups

Growth is often masked by vanity numbers. To determine if a product works, look past initial acquisition to high-intent repeat behavior.

Metric Comparison Table

This table shows the difference between a product with high marketing spend but no value (Product A) and a product with true Product-Market Fit (Product B).

Time Period	Product A: New Signups (Vanity)	Product B: Day 90 Retention (PMF)
Week 1	10,000 users	100% active
Week 4	12,500 users	45% active
Week 8	15,000 users	32% active
Week 12 (Day 90)	18,000 users	30% active (Stable)
Long-term Result	Eventual Collapse	Sustainable Growth

Why Signups Are Deceptive

Week 1 signups are a vanity metric because they only measure marketing reach and temporary hype. They fail to prove that the product provides lasting value or solves a recurring problem for the user.

- Signups can be bought through ads or temporary hype.
- A high signup rate creates the illusion of growth while the actual user base might be shrinking.

- This metric ignores the "leaky bucket" problem where users leave as fast as they arrive.

Why Cohort Retention is the True Metric

True Product-Market Fit is defined as the Bounty Utilization Rate. This is the percentage of WOW cohorts executing at least two D2C mega-cashback transactions in their first 90 days. This specific action confirms the user has reached the core value proposition twice, indicating habit formation.

The Retention Curve

A product with PMF has a retention curve that eventually flattens out. This flat line represents a group of core users who find permanent value in what you have built. If the curve never flattens and instead hits zero, you do not have a viable product, regardless of how many thousands of people sign up in Week 1.

Predictable Revenue

Retention is the foundation for all other metrics. If you know that 30% of users will stay forever, you can accurately calculate the lifetime value of a customer. Without a stable retention plateau, your business is a treadmill where you must constantly spend money to replace lost users.

Product Health

High retention proves that the product solves a real problem. It shows that the "aha moment" was not a one-time fluke but a recurring benefit that keeps users from switching to a competitor. Focus on the plateau, not the peak.